



Autodesk Inc (ADSK) — Research Summary

Technology | Software - Application | 2026-10-06

Price: \$231.28

Signal: BUY (7.53/10)

Market: bull_tech

Equity Research Summary: Autodesk Inc (ADSK)

Price: \$231.28 | **Market Cap:** \$46.3B | **52-Week Range:** \$185.50–\$320.00

1. Company Overview & Investment Thesis

Autodesk is a leading design and engineering software company whose products (AutoCAD, Revit, Fusion) are industry standards across architecture, construction, manufacturing, and media. The stock is interesting now because it has been punished alongside peers on fears that AI could disrupt professional software—yet the company is aggressively leaning into that very trend with its new agentic AI platform. This creates a potential disconnect between a depressed valuation and a steady, profitable business.

2. Fundamental Snapshot

Valuation: Autodesk trades at a trailing P/E of 28.7, but a far more reasonable forward P/E of 17.6—reflecting expected earnings growth. EV/EBITDA sits near 19.5x (\$44.9B EV / \$2.3B EBITDA), and price-to-sales is 5.9x. These multiples are moderate for a high-margin software leader and sit well below the company's historical peaks, supporting the "undervalued" narrative.

Earnings Trend: The company has beaten estimates for four straight quarters, including a notable +10.8% beat in April 2026. This consistency signals strong execution and conservative guidance.

Revenue & Margins: Growth is steady rather than explosive, with recent quarters up roughly +4.4% to +4.5% year-over-year. Profitability is the real highlight: gross margins near 91%, operating margins around 28–29%, and a net profit margin of 21.1%. The business generated \$0.6B in free cash flow last quarter.

Balance Sheet: Healthy. Cash of \$4.2B roughly offsets total debt of \$3.7B, leaving the company in a modest net-cash position with ample flexibility for buybacks (it repurchased \$0.5B in stock last quarter).

3. Technical Outlook

Autodesk sits in the **lower-middle of its 52-week range**, around \$231 versus a low of \$185.50 and a high of \$320.00—roughly 28% below its peak. After a difficult year (down ~26% over 12 months), recent price action shows **momentum building**: the stock rallied in late September and early October, outperforming the broader market on several down days.

- **Support:** The \$185–\$210 zone, near recent lows.
- **Resistance:** First test near \$260–\$280, then the prior high of \$320.

The near-term trend has turned constructive, suggesting a potential recovery off a bottoming base.

4. News & Sentiment

Overall Sentiment: Slightly Bullish

Three key themes dominate recent coverage:

1. **AI as opportunity, not just threat:** Autodesk previewed a cross-product "Autodesk Assistant" agentic AI platform and strengthened AI partnerships with firms like Arcadis. The narrative is shifting from "AI will disrupt Autodesk" toward "Autodesk is monetizing AI."
2. **M&A tailwind:** Schneider Electric's \$22.6B acquisition of rival PTC—at a 42% premium—lifted the entire engineering-software group and reminded investors of the sector's strategic value.
3. **Valuation debate:** Multiple commentators argue the stock may be ~39% undervalued, grouping it with Adobe as a quality software name unfairly punished by AI fears.

The prevailing market narrative: a high-quality compounder caught in an AI-driven sentiment slump, with early signs that fears are overblown.

5. Bottom Line

Aerondight Systems Signal: BUY (7.53/10)

Thesis: A dominant, highly profitable design-software franchise trading at a discounted forward multiple, with improving momentum and a credible AI strategy that could reframe the disruption fear into a growth story.

Key Catalyst: The next quarterly earnings report and further rollout/adoption details of the Autodesk Assistant AI platform. Continued sector M&A could also re-rate the group.

Analyst Context: Wall Street is overwhelmingly positive—30 Buys, 6 Holds, 0 Sells—with an average target of \$308, implying ~33% upside.

Risk Level: Medium. The business is stable and cash-generative, but the beta of 1.33, modest single-digit revenue growth, and genuine uncertainty around how AI reshapes professional software warrant caution.

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